

There are two associated PDFs with this comment; both are included here.

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See attached file This AI proposal establishes a constitutionally grounded, innovation-driven framework to sustain and enhance America's AI leadership while minimizing regulatory burdens. It details actionable steps across key domains—hardware and data-center efficiency, open-source development, cybersecurity, defense applications, and workforce retraining—highlighting the need for limited, transparent oversight. The plan aligns federal authority with constitutional principles, encourages private-sector collaboration, fosters international partnerships to maintain U.S. leadership, and ensures AI policies uphold civil liberties and economic competitiveness.

[THE WHITE HOUSE]

WASHINGTON

Presidential Memorandum on the Constitutional Governance of Artificial Intelligence

TO: Heads of Executive Departments and Agencies

DATE: *InsertDateInsert DateInsertDate*

By the authority vested in me as President of the United States, and in accordance with the Constitution and laws of our Nation, I hereby propose the following framework to ensure that the development, deployment, and regulation of Artificial Intelligence (AI) remain firmly rooted in our constitutional heritage, safeguard individual liberties, promote innovation, and uphold the public trust.

SECTION I: Introduction – AI and American Constitutional Values

A. Definition of AI

Objective: Establish a clear, uniform definition of AI for consistent application of federal standards.

- **Definition of Artificial Intelligence:** For purposes of this Memorandum, AI refers to computer systems or software capable of performing tasks that typically require human intelligence, such as learning from data, reasoning, problem-solving, pattern recognition, or natural language processing. This includes but is not limited to machine learning models, neural networks, deep learning architectures, and expert systems.

B. Vision and Context

Objective: Provide a clear vision where AI fuels liberty, innovation, and individual empowerment, consistent with the Constitution.

1. Foundational AI Declaration

- a. **Purpose:** Establish AI's role in preserving individual liberty and fostering technological progress, mirroring the Constitution's commitment to self-determination.
- b. **Implementation:**
 - i. Draft a formal "AI Declaration" explicitly linking AI's societal benefits to America's historic tradition of innovation.
 - ii. Reference significant technological milestones (e.g., printing press, telegraph) to illustrate how transformative technologies can uphold democratic values.

2. Historical Context Overview

- a. **Purpose:** Demonstrate how America's legacy of innovation and constitutional governance shapes contemporary AI policy.
- b. **Implementation:**
 - i. Develop a comprehensive timeline of technological advances alongside key constitutional principles.
 - ii. Emphasize the need for balanced regulation that safeguards both progress and limited government.

SECTION II: Constitutional Basis for AI Governance

Objective: Root all AI regulations in explicit constitutional provisions while defining practical federal limits.

A. Commerce Clause (Article I, Section 8)

Purpose: Clarify federal jurisdiction over interstate AI commerce while respecting the reserved powers of the states.

- **Implementation:**
 - Provide guidelines on federal oversight of cross-border data flows, interstate digital markets, and competition.
 - Limit federal authority to situations with a clear nexus to interstate commerce, avoiding intrusion into purely intrastate matters.

B. Intellectual Property Clause (Article I, Section 8)

Purpose: Protect AI-generated inventions while maintaining public domain access to foundational ideas.

- **Implementation:**

- Modernize patent and copyright systems to address AI-driven creations.
- Conduct regular reviews to keep pace with technological advances in AI.

C. Guarantee Clause (Article IV, Section 4)

Purpose: Recognize that the Guarantee Clause ensures a “Republican Form of Government” in each State and explore supportive AI transparency measures.

- **Clarification on Scope:**
 - The Guarantee Clause is directed at ensuring each State maintains a representative governance structure; it does not itself grant federal authority over AI but offers a constitutional backdrop for transparent administration in federal and state operations.
- **Implementation:**
 - Use AI to enhance transparency of federal expenditures and operations in ways consistent with separation of powers.
 - Consider independent oversight to ensure AI is not used to undermine republican governance within states.

D. AI and the Founding Fathers’ Intent

Objective: Ground modern AI policy in the constitutional ethos of limited federal power and personal freedom.

1. Clarify Foundational Ideals

- Purpose:** Show how decentralization and protection of rights inform AI governance.
- Implementation:**
 - Conduct public awareness campaigns linking historical constitutional values to modern AI.
 - Provide educational resources illustrating the balance between innovation and civil liberties.

2. Establish Robust Policy Safeguards

- Purpose:** Ensure federal AI regulations remain transparent, narrowly tailored, and respectful of state authority.
- Implementation:**
 - Create independent review boards with broad expertise (technologists, legal scholars, civil liberty advocates) to advise on constitutional implications.

- ii. Permit states to adapt AI policies to their unique circumstances, consistent with the Tenth Amendment, and encourage coordination across states.

SECTION III: AI Regulation Under the Bill of Rights

A. First Amendment – Free Speech and AI-Generated Content

Objective: Protect free expression while fostering transparency in AI outputs.

1. Content Transparency Standards

- a. **Purpose:** Avoid AI-driven distortions of public discourse.
- b. **Implementation:**
 - i. Require platforms to disclose when AI tools drive content moderation or recommendations.
 - ii. Mandate independent audits to ensure algorithmic fairness and accuracy, with public summaries provided while respecting trade secrets.

2. Respecting Private Platform Rights

- a. **Clarification:** Private entities have their own First Amendment rights to moderate content but should meet transparency standards when using AI at scale.

3. Anti-Censorship Guidelines

- a. **Purpose:** Prevent the federal government from using AI tools to silence constitutionally protected speech.
- b. **Implementation:**
 - i. Draft legislation banning viewpoint-based suppression through AI in federal communications or contracting.
 - ii. Encourage market competition to mitigate the effect of any single AI-driven platform's biases, consistent with antitrust and free speech norms.

B. Second Amendment – AI in National Defense

Objective: Balance the integration of AI into defense operations with respect for constitutional boundaries.

1. Ethical AI in Military Applications

- a. **Purpose:** Define ethical responsibilities and limits for AI in defense contexts.

b. Implementation:

- i. Enact formal protocols for AI in weapons systems, cyber defense, and intelligence, subject to congressional oversight.
- ii. Deliver classified and unclassified reports to Congress to maintain transparency consistent with national security.

2. Civilian Security Measures

- a. **Purpose:** Develop AI solutions that enhance public safety without infringing civil liberties.

b. Implementation:

- i. Use AI in crisis response (e.g., disaster relief), with transparent public reporting and privacy safeguards.
- ii. Clearly delineate how AI-driven defense capabilities will not undermine individual Second Amendment rights.

C. Fourth Amendment – AI and Privacy Protections

Objective: Ensure AI-enabled data collection or surveillance respects the right to privacy.

1. Data Collection Protocols

- a. **Purpose:** Restrict AI-driven data gathering or analysis beyond lawful bounds.

b. Implementation:

- i. Require judicial warrants for targeted AI-based data collection by government.
- ii. Mandate data minimization rules (e.g., defined retention periods) to avoid overbroad or indefinite storage.

2. Enhanced Data Security

- a. **Purpose:** Protect sensitive information from unauthorized AI exploitation.

b. Implementation:

- i. Enforce stringent encryption standards and regular security audits by independent experts.
- ii. Publicize compliance findings, absent sensitive national security details.

D. Fifth & Fourteenth Amendments – Due Process and Equal Protection

Objective: Prevent arbitrary or discriminatory AI-driven decisions.

1. Legal Oversight for AI Decisions

- a. **Purpose:** Avoid unexplained AI outputs in legal or administrative contexts.

b. Implementation:

- i. Require that AI-driven decisions be explainable, with an option for human review or appeal.
- ii. Conduct periodic accuracy audits, publishing non-sensitive results.

2. Eliminating Algorithmic Bias

a. **Purpose:** Identify and correct discriminatory practices in AI.

b. Implementation:

- i. Require bias audits using standardized metrics to detect disparate impacts.
- ii. Impose corrective measures and public disclosures when significant bias is discovered.

E. Ninth & Tenth Amendments – Limiting Federal Overreach in AI Policy

Objective: Affirm states' roles in AI regulation while adhering to the Bill of Rights and enumerated powers.

1. State-Level AI Regulatory Models

a. **Purpose:** Provide flexibility for states to tailor AI rules to local needs.

b. Implementation:

- i. Offer model federal guidelines, leaving states free to adopt or adjust them under Tenth Amendment principles.
- ii. Foster cooperative frameworks among states to streamline AI policies and share best practices.

2. Market-Driven Innovation

a. **Purpose:** Encourage healthy competition and minimize regulatory burdens.

b. Implementation:

- i. Provide tax incentives or grants for responsible AI development.
- ii. Limit federal intervention to documented market failures or legitimate national security threats.

SECTION IV: Economic and Labor Applications of AI

A. AI for Economic Empowerment

Objective: Spur domestic AI growth and safeguard competitive markets.

1. Innovation Incentives

a. **Purpose:** Accelerate entrepreneurship and research in AI.

b. Implementation:

- i. Expand R&D grants, tax incentives, and innovation challenges for AI startups via the Department of Commerce and National Science Foundation (NSF).
- ii. Encourage university-industry collaborations for cutting-edge AI development.

2. Antitrust and Competition Enforcement

a. **Purpose:** Prevent monopolization in AI-related sectors.

b. Implementation:

- i. Apply rigorous antitrust oversight to deter anti-competitive consolidation of AI technologies or data.
- ii. Empower the FTC and DOJ to scrutinize mergers that threaten innovation.

B. AI and Labor Protections

Objective: Mitigate workforce disruption and protect employees' rights in the face of AI-driven automation.

1. Worker Retraining Programs

a. **Purpose:** Prepare displaced workers for new opportunities.

b. Implementation:

- i. Fund extensive retraining initiatives through the Department of Labor, in collaboration with community colleges and private tech entities.
- ii. Offer grants or scholarships for workers transitioning from at-risk industries.

2. Labor Rights Enforcement

a. **Purpose:** Ensure responsible AI adoption in the workplace.

b. Implementation:

- i. Require clear disclosures of AI-based employee monitoring.
- ii. Create a specialized Department of Labor unit to oversee AI's impact on wages, job stability, and conditions.

SECTION V: AI and National Security

A. Military AI Applications and Constitutional Oversight

Objective: Maintain ethical standards for AI in defense under appropriate checks.

1. Military AI Standards

a. **Purpose:** Define permissible and prohibited AI uses in military contexts.

b. **Implementation:**

- i. Establish a formal Code of Conduct for AI in defense, created by the Department of Defense (DoD) in coordination with Congress.
- ii. Provide frequent briefings to congressional oversight committees, including both classified and unclassified details.

2. Cybersecurity and Critical Infrastructure Protection

a. **Purpose:** Use AI to guard vital systems against cyber threats.

b. **Implementation:**

- i. Integrate advanced AI-driven monitoring in cooperation with the Department of Homeland Security (DHS).
- ii. Establish public-private rapid-response teams and shared data platforms for threat mitigation.

B. Safeguarding National Sovereignty in AI

Objective: Protect pivotal AI sectors from undue foreign control or influence.

1. Foreign Investment Controls

a. **Purpose:** Ensure national security is not compromised by foreign involvement in AI.

b. **Implementation:**

- i. Reinforce CFIUS reviews with a specific focus on AI deals.
- ii. Mandate supply chain checks for critical AI hardware, software, and components.

2. Enhanced AI-Based Cyber Defense

a. **Purpose:** Strengthen the nation's ability to detect and deter cyber intrusions.

b. **Implementation:**

- i. Continuously monitor critical infrastructure with AI threat-detection systems.
- ii. Provide threat reports to the public where feasible, while respecting classified information limits.

SECTION VI: Civil Liberties, Liability, and Judicial Review

A. Preservation of Democratic Processes

Objective: Support civic engagement and transparency without curtailing freedoms.

1. Civic Engagement and Transparency Platforms

- a. **Purpose:** Give citizens accessible insights into federal data and AI decision-making.
- b. **Implementation:**
 - i. Develop user-friendly AI dashboards for public records, legislative tracking, and other open data.
 - ii. Increase AI literacy through federal grants or public information campaigns.

2. Ethical Standards for AI Deployment

- a. **Purpose:** Uphold a shared commitment to responsible AI practices across public and private sectors.
- b. **Implementation:**
 - i. Adopt a National Code of Ethical Conduct for AI.
 - ii. Require independent audits of major AI systems, publishing non-sensitive findings to enable accountability.

B. Liability, Civil Redress, and Judicial Oversight

Objective: Clarify legal remedies for harm arising from AI misuse or constitutional violations.

1. Liability Framework

- a. **Purpose:** Define accountability for AI-driven errors, biases, or rights violations.
- b. **Implementation:**
 - i. Establish statutory standards detailing when developers, operators, or users of AI systems can be held liable.
 - ii. Allow private rights of action in federal court for damages or injunctions, with expedited procedures for fundamental rights claims.

2. Path to Judicial Oversight

- a. **Purpose:** Provide a mechanism for courts to review major AI regulations and protect due process.
- b. **Implementation:**

- i. Require a “constitutional impact statement” for significant AI rules, subject to judicial scrutiny prior to final enactment.
- ii. Preserve current due process avenues for individuals challenging AI-based decisions in administrative or judicial forums.

SECTION VII: Open Source AI Technology for the American People

A. Establish an Open Source AI Initiative

Objective: Expand public access to AI technology, consistent with intellectual property and security laws.

1. Government-Supported Platform

- a. **Purpose:** Provide a secure central repository for open AI tools.
- b. **Implementation:**
 - i. Launch a federal open-source AI portal under the National Institute of Standards and Technology (NIST), including documentation and clear licensing terms.
 - ii. Respect proprietary rights by allowing contributors to shield genuinely confidential aspects.

B. Promote Collaborative Development and Security

Purpose: Spur innovation and safeguard against misuse.

- **Implementation:**
 - Form cross-sector alliances (government, industry, academia) to share best practices on open-source AI.
 - Integrate oversight measures to identify vulnerabilities promptly, applying fixes to maintain public trust.

C. International and Global Engagement

Purpose: Recognize AI’s global dimensions and encourage responsible international protocols.

- **Implementation:**
 - Negotiate treaties or agreements with allies on AI ethics, data standards, and security, subject to Senate approval where required.

- Coordinate export controls to prevent hostile or unethical use of critical AI technologies.

SECTION VIII: Implementation, Timelines, and Resource Allocation

A. Interagency Coordination

Objective: Ensure cohesive policy execution without redundant regulations.

1. Agency Roles

- Purpose:** Assign lead and support responsibilities.
- Implementation:**
 - Designate the Office of Science and Technology Policy (OSTP) as primary coordinator for overall AI strategy.
 - Delegate specific tasks (e.g., privacy oversight to FTC, workforce programs to Department of Labor, defense-related AI to DoD).

B. Enforcement Mechanisms and Penalties

Objective: Guarantee compliance with AI regulations through transparent enforcement measures.

- **Implementation:**
 - Authorize relevant agencies (FTC, DOJ, etc.) to impose civil penalties or fines for violations.
 - Create administrative processes for investigating AI-related complaints, ensuring due process rights.

C. Budgetary and Resource Provisions

Objective: Secure necessary funding and qualified personnel for effective oversight.

- **Implementation:**
 - Propose dedicated appropriations to Congress for AI enforcement, audits, and open-source programs.
 - Enhance AI training for federal staff to build a knowledgeable regulatory workforce.

D. Timeline for Implementation and Review

Objective: Establish clear deadlines and benchmarks for progress.

- **Implementation:**
 - Issue agency directives within 90 days of this Memorandum, detailing final regulations, procedures, and enforcement strategies.
 - Conduct annual reviews of AI policies and programs, publishing a “State of AI Governance” report for Congress and the public.

Conclusion: A Constitutionally Anchored, Operational AI Framework

Core Principle: Each AI regulation shall be explicitly rooted in the Constitution—preserving personal freedoms, spurring economic progress, and averting regulatory overreach.

Key Improvements:

- Clearer demarcation of federal authority vs. state prerogatives under the Guarantee Clause and Tenth Amendment.
- Refined application of the Second Amendment to ensure AI’s role in defense does not infringe individual rights.
- Strengthened disclaimers tying agency authority to enumerated powers.
- Expanded accountability measures (liability standards, audits, and judicial reviews) to protect citizens and encourage fair competition.

Final Directives:

1. Anchor all federal AI rules to enumerated powers and Bill of Rights protections.
2. Promote continuous collaboration among government agencies, civil society, private sector, and state/local authorities.
3. Establish agile oversight commissions for real-time evaluation and recommended adjustments based on evolving AI trends.
4. Maintain transparency through regular reporting on significant government AI deployments, ensuring accountability while safeguarding sensitive information.

This Memorandum shall be implemented consistent with applicable law and subject to the availability of appropriations. It does not create any right or benefit—substantive or procedural—enforceable at law by any party against the United States, its departments, agencies, officers, or agents.

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Presidential Memorandum on the Constitutional Governance of Artificial Intelligence

TO: Heads of Executive Departments and Agencies

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By the authority vested in me as President of the United States, and in accordance with the Constitution and laws of our Nation, I hereby propose the following framework to ensure that the development, deployment, and regulation of Artificial Intelligence (AI) remain firmly rooted in our constitutional heritage, **advance U.S. leadership** in AI, **eliminate unnecessary burdens on private innovation**, safeguard individual liberties, and uphold the public trust.

SECTION I: Introduction – AI and American Constitutional Values

A. Definition of AI

Objective: Establish a clear, uniform definition for consistent federal AI standards.

- **Definition of Artificial Intelligence:** For purposes of this Memorandum, AI refers to computer systems or software capable of performing tasks that typically require human intelligence—learning from data, reasoning, problem-solving, pattern recognition, or natural language processing. This includes machine learning models, neural networks, deep learning architectures, and expert systems, as well as **associated hardware and computational infrastructure** (e.g., specialized chips, data center operations).

B. Vision and Context

Objective: Clarify how AI will fuel individual empowerment and national competitiveness, consistent with the Constitution.

1. Foundational AI Declaration

- a. **Purpose:** Link AI's societal benefits to America's legacy of innovation, emphasizing entrepreneurial freedoms and minimal regulatory barriers for the private sector.
- b. **Implementation:**
 - i. Draft a formal "AI Declaration" affirming AI's role in **promoting economic growth, expanding opportunity, and protecting civil liberties**.
 - ii. Reference historical technological transformations (printing press, telegraph) to illustrate how light-touch government policies can **accelerate private-sector innovation** while respecting constitutional principles.

2. Historical Context Overview

- a. **Purpose:** Educate citizens about the nation's constitutional governance and technological advancements.
- b. **Implementation:**
 - i. Develop a robust timeline linking key U.S. inventions to constitutional safeguards.
 - ii. Emphasize how balanced regulation can **catalyze** rather than **hinder** private innovation, fostering new industries and jobs.

SECTION II: Constitutional Basis for AI Governance

Objective: Ground AI regulations in constitutional provisions, with clear limits on federal authority.

A. Commerce Clause (Article I, Section 8)

Purpose: Assert federal jurisdiction only where AI activities clearly cross state or international lines.

- **Implementation:**
 - Clarify oversight of **interstate data flows, digital markets, and AI-related cross-border transactions** (e.g., cloud computing services, specialized chip imports).
 - Limit federal regulations to documented interstate or global impacts; avoid intrusive mandates on purely intrastate AI activities.

B. Intellectual Property Clause (Article I, Section 8)

Purpose: Protect AI-driven innovations while maintaining a vibrant knowledge commons.

- **Implementation:**
 - Modernize patent and copyright systems to reflect AI-created works and to **support domestic AI development**.
 - Conduct regular reviews to ensure that entrepreneurs and researchers can **rapidly bring AI inventions to market** without undue legal complexities.

C. Guarantee Clause (Article IV, Section 4)

Purpose: Maintain a representative and accountable federal government that upholds republican governance in each state.

- **Clarification:**
 - The Guarantee Clause underpins **transparency** and **accountability** measures but does not itself grant broad federal AI authority.
 - **Implementation:** Utilize AI to **improve visibility** of federal operations, subject to separation of powers, ensuring it does **not** undermine state or local prerogatives.

D. AI and the Founding Fathers' Intent

Objective: Reflect a limited-government approach to foster innovation and protect individual rights.

1. Clarify Foundational Ideals

- a. **Purpose:** Stress how decentralization informs AI governance.
- b. **Implementation:**
 - i. Highlight **freedom of contract and entrepreneurial spirit** in federal AI guidance.
 - ii. Create educational resources showing how less burdensome regulation can unleash innovation.

2. Establish Robust Policy Safeguards

- a. **Purpose:** Ensure regulations are transparent, narrowly tailored, and open to **state-level adaptation**.
- b. **Implementation:**

- i. Create **multi-stakeholder review boards** (including private-sector leaders, legal scholars, consumer advocates).
- ii. Encourage states to customize AI strategies per Tenth Amendment rights, while aligning with constitutional minima.

SECTION III: AI Regulation Under the Bill of Rights

A. First Amendment – Free Speech and AI-Generated Content

Objective: Protect free expression, including private innovation in content platforms.

1. Content Transparency Standards

- a. **Purpose:** Guard against undisclosed AI-driven bias.
- b. **Implementation:**
 - i. Require explicit labeling when AI shapes content curation or moderation, ensuring **voluntary compliance** frameworks that limit undue burdens on startups.
 - ii. Publish aggregated audit findings while safeguarding **proprietary platform algorithms**.

2. Respecting Private Platform Rights

- a. **Clarification:** Private entities have their own First Amendment rights; any regulatory requirements must be narrowly scoped to **disclosures or fairness** without stifling legitimate editorial choices.

3. Anti-Censorship Guidelines

- a. **Purpose:** Prohibit viewpoint-based suppression by government AI systems.
- b. **Implementation:**
 - i. Enact federal prohibitions on using AI to silence lawful speech in public communications.
 - ii. Encourage **competitive markets** where diverse AI-driven platforms can thrive.

B. Second Amendment – AI in National Defense

Objective: Deploy AI to strengthen defense without infringing on private citizens' constitutional rights.

1. Ethical AI in Military Applications

- a. **Purpose:** Clarify permissible AI use in weapons, intelligence, and cyber operations.
 - b. **Implementation:**
 - i. Draft formal DoD protocols for AI-enabled systems; **review** them periodically to incorporate new private-sector innovations.
 - ii. Provide regular, appropriately classified, congressional briefings.
- 2. Civilian Security Measures**
- a. **Purpose:** Use AI in crisis response (disaster relief, emergency services) with transparency.
 - b. **Implementation:**
 - i. Maintain open communication channels for local and private actors **assisting** in these efforts.
 - ii. Ensure no overlap with lawful private firearms ownership or local law enforcement prerogatives.

C. Fourth Amendment – AI and Privacy Protections

Objective: Prevent AI-driven surveillance from violating privacy rights.

- 1. Data Collection Protocols**
- a. **Purpose:** Mandate judicial checks on AI-led government surveillance.
 - b. **Implementation:**
 - i. Require judicial warrants for significant AI-based data collection.
 - ii. Institute **narrow data-retention policies** for collected information.
- 2. Enhanced Data Security**
- a. **Purpose:** Safeguard personal data from hacks and misuse.
 - b. **Implementation:**
 - i. Enforce strong encryption standards in government and **promote** best practices for private AI developers.
 - ii. Publish annual compliance audits while limiting administrative overhead on small businesses.

D. Fifth & Fourteenth Amendments – Due Process and Equal Protection

Objective: Enforce fairness and accountability in AI-powered decisions.

- 1. Legal Oversight for AI Decisions**
- a. **Purpose:** Protect individuals from opaque or arbitrary AI processes in government agencies.
 - b. **Implementation:**

- i. Require transparent, explainable AI models in **administrative contexts**, with optional human review.
- ii. Mandate periodic accuracy and bias assessments, offset by incentives for private vendors to **reduce compliance costs**.

2. Eliminating Algorithmic Bias

- a. **Purpose:** Identify and correct unfair discrimination in AI.
- b. **Implementation:**
 - i. Create standardized metrics for bias audits, focusing on **scalable** testing regimes.
 - ii. Require remedial actions only when significant, measurable bias exists.

E. Ninth & Tenth Amendments – Limiting Federal Overreach in AI Policy

Objective: Empower states to govern AI under constitutional standards, fostering creative experimentation.

1. State-Level AI Regulatory Models

- a. **Purpose:** Support local conditions without duplicative federal intrusion.
- b. **Implementation:**
 - i. Offer “**model AI policy toolkits**” for states that wish to accelerate or refine governance.
 - ii. Promote inter-state working groups to **share best practices**.

2. Market-Driven Innovation

- a. **Purpose:** Cultivate private-sector leadership and reduce excessive red tape.
- b. **Implementation:**
 - i. Provide **selective tax incentives** for R&D in advanced AI algorithms, chips, and data-center optimization.
 - ii. Restrict heavy-handed federal interventions to clear market failures or substantial security threats.

SECTION IV: Economic and Labor Applications of AI

A. AI for Economic Empowerment

Objective: Sustain U.S. AI leadership, including **hardware innovation**, **model efficiency**, and private R&D growth.

1. Innovation Incentives

- a. **Purpose:** Accelerate private entrepreneurship in AI.
- b. **Implementation:**
 - i. Expand grants and **prize challenges** for breakthroughs in **energy-efficient data centers**, specialized AI chips, and advanced training methods.
 - ii. Encourage consortia with universities, private labs, and startups to maintain global competitiveness.

2. Antitrust and Competition Enforcement

- a. **Purpose:** Prevent monopolistic dominance of AI-critical sectors.
- b. **Implementation:**
 - i. Apply robust antitrust oversight to ensure no single firm controls essential **hardware resources** or large data troves.
 - ii. Provide clarity for **public-private partnerships** that accelerate AI R&D without infringing on fair competition.

B. AI and Labor Protections

Objective: Smoothly integrate AI while preserving worker rights.

1. Worker Retraining Programs

- a. **Purpose:** Equip citizens with skills to thrive in AI-driven markets.
- b. **Implementation:**
 - i. Fund comprehensive retraining through the Department of Labor, prioritizing **tech upskilling** for displaced workers.
 - ii. Offer direct grants to states, private employers, and academic institutions that run effective workforce transitions.

2. Labor Rights Enforcement

- a. **Purpose:** Ensure AI does not violate employee privacy or degrade working conditions.
- b. **Implementation:**
 - i. Enact rules requiring **transparent AI-based performance monitoring** only in relevant contexts.
 - ii. Monitor AI's impact on wages and job security, balancing necessary oversight with minimal reporting burdens on smaller enterprises.

SECTION V: AI and National Security

A. Military AI Applications and Constitutional Oversight

Objective: Uphold ethical, transparent AI usage within defense mandates.

1. Military AI Standards

- a. **Purpose:** Define permissible AI uses under congressional and constitutional checks.
- b. **Implementation:**
 - i. Develop a formal **Code of Conduct for AI in Defense**, incorporating private-sector best practices where appropriate.
 - ii. Report to Congress regularly, including unclassified summaries that detail emerging AI capabilities.

2. Cybersecurity and Critical Infrastructure Protection

- a. **Purpose:** Harness cutting-edge AI to safeguard vital systems.
- b. **Implementation:**
 - i. Deploy advanced machine-learning threat detection across infrastructure sectors in **partnership** with industry.
 - ii. Establish rapid-response protocols, with **shared intelligence** between public agencies and private cybersecurity firms.

B. Safeguarding National Sovereignty in AI

Objective: Defend domestic AI resources from undue foreign influence or control.

1. Foreign Investment Controls

- a. **Purpose:** Ensure critical AI assets stay under secure U.S. oversight.
- b. **Implementation:**
 - i. Strengthen CFIUS reviews specifically for **AI hardware, large-scale data centers, specialized chip manufacturing**, and related software.
 - ii. Mandate supply chain verifications for sensitive AI components.

2. Enhanced AI-Based Cyber Defense

- a. **Purpose:** Protect the nation's digital frontier against adversarial use of AI.
- b. **Implementation:**
 - i. Deploy AI-driven detection systems in government networks and coordinate with private sector providers.
 - ii. Maintain transparent oversight, releasing high-level threat reports without exposing proprietary methods.

SECTION VI: Civil Liberties, Liability, and Judicial Review

A. Preservation of Democratic Processes

Objective: Foster civic engagement, open data, and ethical AI deployments.

1. Civic Engagement and Transparency Platforms

- a. **Purpose:** Give the public efficient access to government data and AI decision pipelines.
- b. **Implementation:**
 - i. Build user-friendly federal AI portals for legislative tracking and open datasets, encouraging **private-sector tools** to interface freely.
 - ii. Promote AI literacy via grants for educational programs and local libraries, ensuring broad reach.

2. Ethical Standards for AI Deployment

- a. **Purpose:** Set baseline ethical norms across sectors.
- b. **Implementation:**
 - i. Create a **National Code of Ethical Conduct for AI**, specifying minimal compliance steps so as not to deter startups and small businesses.
 - ii. Conduct independent audits of major federal AI systems, publishing non-sensitive results.

B. Liability, Civil Redress, and Judicial Oversight

Objective: Provide recourse for harm while maintaining a fair business climate.

1. Liability Framework

- a. **Purpose:** Define accountability for AI-related injuries or rights violations.
- b. **Implementation:**
 - i. Adopt **clear statutory guidelines** for developer, operator, or user liability, encouraging best practices without stifling innovation.
 - ii. Enable civil actions in federal court with an expedited process for fundamental rights cases.

2. Path to Judicial Oversight

- a. **Purpose:** Secure constitutional scrutiny of major AI policies.
- b. **Implementation:**

- i. Require “**constitutional impact statements**” for significant AI regulations.
- ii. Preserve existing due process avenues, ensuring individuals can challenge AI-based decisions in court.

SECTION VII: Open Source AI Technology for the American People

A. Establish an Open Source AI Initiative

Objective: Expand access to AI platforms while respecting confidentiality and security.

1. Government-Supported Platform

- a. **Purpose:** Provide a secure, user-friendly repository for open-source AI tools.
- b. **Implementation:**
 - i. Launch a **federal AI portal** under NIST for public collaboration on AI models and code.
 - ii. Allow developers to protect genuinely proprietary elements, balancing openness with commercial viability.

B. Promote Collaborative Development and Security

- **Purpose:** Encourage multi-sector partnerships for innovative, secure AI.
- **Implementation:**
 - Form strategic alliances among industry, academia, and federal labs to **develop advanced AI hardware** (e.g., specialized chips, data-center optimizations) and **reduce vulnerabilities**.
 - Require periodic security reviews of open-source repositories, applying **limited compliance** burdens to encourage maximum participation.

C. International and Global Engagement

- **Purpose:** Emphasize U.S. leadership in shaping global AI standards.
- **Implementation:**
 - Pursue **bilateral and multilateral** agreements with allies on data sharing, export controls, and best practices for **responsible AI**.

- Strengthen export control mechanisms on advanced AI chips, large language models, and other **strategic AI technologies** to prevent hostile uses.

SECTION VIII: Implementation, Timelines, and Resource Allocation

A. Interagency Coordination

Objective: Streamline policy actions and avoid duplication.

1. Agency Roles

- Purpose:** Identify lead and supporting departments.
- Implementation:**
 - Assign OSTP to coordinate overall AI strategy, with specialized tasks to DoD, FTC, DOJ, DHS, and the Department of Commerce.
 - Ensure private-sector advisory panels are integrated in rulemaking to keep **regulations efficient**.

B. Enforcement Mechanisms and Penalties

Objective: Sustain compliance without excessive enforcement burdens.

- **Implementation:**
 - Authorize limited civil penalties and fines through the FTC, DOJ, and other relevant agencies.
 - Provide clear, **risk-tiered** guidelines—more flexible for small startups, more rigorous for large-scale operators.

C. Budgetary and Resource Provisions

Objective: Ensure robust funding and skilled personnel.

- **Implementation:**
 - Request separate appropriations for **AI infrastructure grants**, workforce training, oversight boards, and open-source projects.
 - Enhance specialized training within agencies on **technical** and **legal** AI aspects.

D. Timeline for Implementation and Review

Objective: Set clear milestones aligned with national AI competitiveness goals.

- **Implementation:**
 - Issue agency directives within **90 days** of publication, detailing final regulations and private-sector consultation methods.
 - Conduct annual “**State of AI Governance**” reviews, tracking metrics such as **domestic AI patents**, **energy-efficient hardware deployments**, **export control compliance**, and **workforce readiness**.

Conclusion: A Constitutionally Anchored, Competitively Driven AI Framework

Core Principle: Align every AI regulation with the Constitution while **fueling private-sector innovation** and **fortifying U.S. leadership** in cutting-edge AI technology.

Key Improvements:

- Detailed steps to **remove barriers** for private AI innovators, from specialized chip manufacturing to open-source development.
- Expanded coverage of **international collaboration** and **export controls** to defend U.S. strategic interests.
- More granular performance measures for **technology standards**, **data-center efficiency**, and **military/defense readiness**.
- Clear disclaimers on **federal vs. state** authorities and minimal compliance burdens, consistent with enumerated powers.

Final Directives:

1. Anchor all AI-related rules to enumerated powers and the Bill of Rights, placing **innovation** and **economic competitiveness** front and center.
2. Foster close collaboration with industry and academia to **develop advanced hardware** and **secure AI platforms**.
3. Form agile oversight bodies to update this framework as **global AI trends** evolve.
4. Maintain **annual reporting** to ensure transparency, refine policies, and protect America’s AI primacy in a rapidly changing world.

This Memorandum shall be implemented consistent with applicable law and subject to the availability of appropriations. It does not create any right or benefit—substantive or procedural—enforceable at law by any party against the United States, its departments, agencies, officers, or agents.